RS. 2,370 CRORE CONSUMER ELECTRONICS EXPORT EXPECTED BY 2001-2002



(Excerpts of Shri M.L. Tandon's observations at CETMA Seminar)

Consumer electronics industry, accounting for nearly one third of total electronics production in the country, is making a significant contribution to India's export of electronics hardware, which has been steadily growing. During the last five years, exports increased from Rs. 196 crore in 1991-92 to Rs. 485 crore in 1995-96. Except for the year 1993-94, when the growth was only 7 per cent, growth rate in other years has averaged 33 per cent.

While the contribution of consumer electronics to the overall export is significant, it should be noted that this sector is pioneer in electronic goods production in the country. Information technology sector, comprising computer hardware and software, started much later but has done better in its share of export to total production and overall production. It is interesting to compare the performance of two sectors.

Perhaps this is due to the fact that the domestic market for consumer electronics was more mature than the IT industry and hence IT industry had to look outward for survival.

The recent decision of the Cabinet Committee on Economic Affairs (CCEA) has ended licensing controls on production of entertainment electronic goods which include Video Cassette Recorders, Colour Televisions, Compact Disc Players and Tape Recorders.

Although some of the world famous brands like Sony, Panasonic and Samsung are already in the market, and some more may enter the field, it is to be seen how far and how long they will look only into the domestic market. It would be in the interest of the country that, with their fi-

Sector	Production (Rs. Crore) 1995-96	Export (Rs. Crore) 1995-96	Exports % of Production	Exports % of Total Electronics Export
Consumer Electronics	5,400	485	8.97	20.21
Computer Hardware	2,225	965	43.37	40.20
	EXPORTS DURING APRIL - NOVEMBER 1996			
Consumer Electronics	Not Known	460	-	23
Computer Hardware	Not Known	950	-	47.5

M. L. Tandon,
Chairman, ESC